EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Baggao was once a barrio of Amulung. It became a Municipality on November 27, 1896 by a Royal Decree.

For more than 95 years, since it was separated from its mother town Amulung, the Municipal Government of Baggao has been seated at the Centro or Poblacion. The Poblacion or Centro founded almost a century ago is no longer the center today. Basing on the context of "ripple effect" approach of development, the present site of the Municipal Government of Baggao has already become misplaced and unstrategically located as its pivotal role of or equal government services and opportunities has already waned. The present town site in fact is causing upsurge of factionalism due to the desire of the people to split the municipality into two.

Pursuant to Republic Act 7160, otherwise known as the Local Government Code of 1991, the Municipality, like other local government units, enjoys total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national governments' thrust for sustainable social and economic growth.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Baggao, Cagayan for CY 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase (Decrease)
Financial Condition			
Total Assets	P982,072,784.49	P859,962,243.58	P122,110,540.91
Total Liabilities	196,804,792.49	166,257,748.68	30,547,043.81
Total Government Equity	785,267,992.00	693,704,494.90	91,563,497.10

Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	417,659,631.01	425,287,469.81	(7,627,838.80)
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	316,430,551.30	317,013,611.97	(583,060.67)
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	412,538,813.00	472,331,743.41	(59,792,930.41)
Appropriations-Continuing	221,995,970.61	168,795,267.46	53,200,703.15
Allotments – Current	412,538,813.00	472,231,743.41	(59,692,930.41)
Allotments –Continuing	221,995,970.61	168,795,267.46	53,200,703.15
Obligations – Current	282,308,633.37	295,694,791.26	(13,386,157.89)
Obligations –Continuing	108,729,775.36	69,330,965.96	39,398,809.40

	2021	**2020**	**Increase (Decrease)**
Funds Received from Other Agencies			
NGAs	P13,190,533.34	P 116,910,405.31	(103,719,871.97)
GOCCs	100,000.00		100,000.00
LGUs	65,000.00	200,000.00	(135,000.00)
NGO/POs	-	-	-
Others	5,339,684.00	376,050.00	4,963,634.00
Total	**P18,695,217.34**	**P117,486,455.31**	**(98,791,237.97)**
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	-	-
Total	**P -**	**P -**	**P -**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Baggao for the year-ended December 31, 2021 due to the following:

1. The reliability of the balance of Property, Plant and Equipment (PPE) accounts of P753,779,770.98 as of December 31, 2021 could not be ascertained due to:

    a. A discrepancy of P31,201,353.75 between Property, Plant and Equipment (PPE) account balance of P753,779,770.98 per books and Report of Physical Count of Property, Plant and Equipment (RPCPPE) by P722,578,417.24. The difference of which pertains to Construction in Progress accounts not accounted by the Inventory Committee during physical count;

b. PPE accounts totaling to P581,400,922.90 were not physically counted but reported in the report of physical count. The details of the assets were copied from the records of Accounting Office during reconciliation, thus, forfeits the purpose of inventory count;

c. Various PPE accounts were derecognized in the books amounting to P1,254,318.00, that were not yet inspected by COA and the process of disposal was not yet undertaken by the Management in accordance with the prescribed rules and regulations stated in Section 165 and 166 of the Supply and Property Management Manual; and

d. Unserviceable PPEs accounted during the year 2021 totaling to P 1,428,848.00 was not submitted to COA for inspection as prescribed in Section 79 of PD 1445.

2. The Share from Tobacco Excise Tax amounting to P32,611,732.50 under RA 11518 of the General Appropriations Act, was erroneously recorded as Due to NGAS account instead of Share from Tobacco Excise Tax (income) account thus, resulting in the understatement of said income and overstatement of the Due to NGAs account by same amount.

D. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. **The actual amounts presented in the Statement of Comparison of Budget and Actual Amounts (SCBAA) were not reconciled with the corresponding component of the financial statements and in the reconciliation of the SCBAA and the Statement of Financial Performance in the Notes to Financial Statements, which is not in keeping with Section 80, Chapter 4 of the New Government Accounting System (NGAS), Volume I and COA Circular No. 2016-004 dated September 30, 2016, thus, casting doubt on the reliability of the affected accounts in the financial statement.**

   We recommended that the Municipal Accountant ensure that the amounts presented in the Statement of Comparison of Budget and Actual Amounts reconciles with the corresponding component of the financial statements and the Reconciliation of Statement of Comparison of Budget and Actual Amounts and the Statement of Financial Performance presented in the Notes to Financial Statements to ensure the accuracy of the balances presented therein.

2. **The accuracy and reliability of the Real Property Tax and Special Education Tax Receivables accounts presented in the Financial Statements totaling to P3,163,630.63 and P3,163,630.63, respectively,**

could not be relied upon due to the non-submission of the Municipal Treasurer of the list showing the names of the taxpayers and the amount due and collectible therefrom based on the Real Property Tax Account Register/Taxpayer's Index Card. Moreover, the Municipal Accountant was not able to set-up the RPT and SET Receivable accounts at the beginning of the year in accordance with Section 20 of the New Government Accounting System (NGAS) Manual for Local Government Units.

We recommended that Management instruct the Municipal Treasurer to submit the certified list of taxpayers showing the amount of tax due and collectible therefrom for the year and submit the same to the Municipal Accountant as basis in the set-up Real Property Tax Receivable/Special Education Tax Receivable at the beginning of the year in compliance with Section 20 of the NGAS Manual for LGUs.

Moreover, reconcile records of Real Property Tax Receivable/Special Education Tax Receivable at the end of the year showing the names of RPUs based on the Real Property Tax Account Register/Taxpayer's Index Card to capture the unpaid taxes for the current and previous years recorded in the books of accounts and present fairly the said balances in the Financial Statements.

3. **Various goods, drugs and medicines, supplies, and materials procured totaling to P29,638,937.11, were recorded as outright expenses, instead of initially recording the same to the appropriate inventory accounts and record as expense only upon consumption/distribution to end-user, contrary to Section 114 of Volume I The New Government Accounting System Manual (NGAS) for Local Government Units (LGU), thus increasing the risk of possible misstatement of the financial statements and loss of inventory.**

   We recommended that Management instruct the Municipal Accountant to ensure that all inventories shall be coursed thru the inventory account and correspondingly, issuances thereof shall be recorded to the appropriate expense account pursuant to Chapter 7, Volume 2, NGAS for Local Government Units.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Disallowances					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the 27 audit recommendations in the 2020 Annual Audit Report, eighteen (18) were implemented, and nine (9) were not implemented and restated in Part II of this Report.